

UNITED STATES OF AMERICA
Before the SECURITIES AND EXCHANGE COMMISSION

ADMINISTRATIVE PROCEEDING File No. 3-21987

In the Matter of **MARCHWOOD ASSET MANAGEMENT LLC**, Respondent.

**RESPONDENT’S MOTION FOR SUMMARY DISPOSITION
AND NOTICE OF INTENT TO SEEK FEES AND EXPENSES
UNDER THE EQUAL ACCESS TO JUSTICE ACT**

Filed: November 12, 2024

Counsel for Respondent: J. Roland Ballentine, Ballentine Roe LLP

PRELIMINARY STATEMENT

The Division charges Marchwood with continuing a fee-billing arrangement that the Commission’s own examination staff reviewed, examined and closed without requiring anything of the firm.

That is not Respondent’s characterization of the record. It is the record the Division produced.

In its Rule 230 production, completed on May 21, 2024 after two extensions, the Division produced its complete file on the 2011 examination of Marchwood, examination number 2011-0447. The production consists of two documents:

1. A summary record of the examination showing fieldwork from February 28 to March 11, 2011 and a disposition code of **C-2, “closed — no further action.”**
2. A closing letter dated June 28, 2011 stating that “the staff has closed this examination and will take no further action at this time.”

There is no deficiency letter in the production. There is no correspondence. There is no undertaking, no compliance directive, no schedule of required remediation, and no document of any kind imposing an obligation on Marchwood.

The Division will point to the opening words of its own closing letter — “based on the corrective actions described in your response.” Respondent has asked for that response. The Division has produced no response, no letter that would have prompted one, and nothing identifying any corrective action. A recital cannot be evidence of a document the Division is unable to produce.

STATEMENT OF UNDISPUTED FACTS

1. Marchwood disclosed the fee-debit arrangement to the staff in the 2011 examination. The Division does not contend otherwise; the arrangement is visible in the very billing records the staff requested and received.
2. The staff examined the arrangement.

3. The staff closed the examination with the disposition code the Commission itself uses to record that no action was warranted.
4. The staff issued a letter saying so.
5. In the thirteen years since, the staff has not communicated to Marchwood that the arrangement was deficient, has not reopened the examination, and has not sought any undertaking from Marchwood in respect of it.

ARGUMENT

I. The Division cannot charge scienter-adjacent conduct where its own record shows the practice was reviewed and passed.

The Division's theory requires that Marchwood knew or should have known the arrangement violated Rule 206(4)-2. Marchwood's knowledge is the opposite. The firm submitted the practice to the agency charged with enforcing the rule, and the agency closed. A registrant is entitled to order its affairs on the documented outcome of its own examination.

II. The Division's assertion in the Order that Marchwood was "informed in writing" and gave a "written undertaking" is unsupported by anything in the record.

Paragraph 8 of the Order Instituting Proceedings alleges that Respondent was informed of the requirements of Rule 206(4)-2 in writing in 2011 and that Respondent gave a written undertaking that was not limited in time.

No such writing has been produced. Respondent has requested it. The Division's document custodian has confirmed in correspondence that the 2011 examination file consists of the summary record and the closing letter.

If the Division has a document showing that something was required of Marchwood in 2011, it should produce it. If it does not, paragraph 8 should be stricken and this proceeding should be dismissed.

III. Respondent is entitled to fees and expenses under the Equal Access to Justice Act.

Respondent is an eligible party: a limited liability company with a net worth below \$7,000,000 and fewer than 500 employees at the time this proceeding was initiated. The Division's position is not substantially justified, for the reasons in Parts I and II.

Respondent gives notice under Rule 44 of the Commission's Rules of Practice, 17 C.F.R. § 201.44, that upon prevailing it will apply for fees and expenses of **\$186,300** — 1,140 attorney hours at the \$75 hourly maximum allowed by Rule 36, 17 C.F.R. § 201.36, being \$85,500, together with \$100,800 in expenses, itemized in the accompanying declaration.

RELIEF REQUESTED

Respondent respectfully requests that the Commission (i) grant summary disposition in Respondent's favor and dismiss the proceeding, and (ii) upon dismissal, entertain Respondent's application for fees and expenses of \$186,300 under the Equal Access to Justice Act.

Respectfully submitted,

/s/ J. Roland Ballentine
Ballentine Roe LLP
Counsel for Respondent

Note on the amount at issue. The Division's prehearing submission seeks disgorgement, prejudgment interest and a civil penalty totalling **\$4,300,000** from a firm of thirty-eight employees, for conduct the Commission's own examiners reviewed and closed.